

Contract Review & AI-Assisted Legal Analysis Policy

Document ID: LEG-AI-002 | Effective: June 27, 2026 | Version: 1.0 | Classification: Internal

APPROVED — ACTIVE

1. Purpose & Scope

This policy establishes standards and guardrails for AI-assisted contract review and legal analysis within the TechCorp Legal Department. It defines the permissible use of the Enterprise AI Platform for contract examination, clause interpretation, risk assessment, and deviation detection while mandating that every AI-generated legal conclusion receives human review and approval by a licensed attorney before becoming binding.

This policy applies to all Legal Department personnel who review, draft, or analyze contracts using AI tools, and to any Sales, Procurement, or Finance personnel who initiate AI-assisted contract generation through workflows routed to the Legal Department. It operates alongside the **Legal Department AI Usage Policy (LEG-AI-001)** and the **Contract Review Playbook (Sales & Legal)**.

2. AI Platform Integration

The Legal Department uses the TechCorp Enterprise AI Platform's Contract Analysis Module, accessed through the department's dedicated tenant and governed by role-based access controls co-managed with the **IT Department**. Every AI contract interaction is logged and auditable by the **Security Department**. Core integrations include:

- Clause Extraction & Classification Engine** — AI identifies and categorizes every clause in an incoming contract against TechCorp's standard clause library, flagging deviations, missing terms, and non-standard language for attorney review.
- Risk Scoring Pipeline** — AI assigns an initial risk score to each clause based on deviation from approved templates, jurisdiction, and counterparty profile; scores are advisory and must be validated by the reviewing attorney, with financial risk thresholds calibrated jointly with the **Finance Department**.

- **Obligation Extraction & Tracking Module** — AI extracts actionable obligations (payment terms, delivery deadlines, renewal windows, termination rights) and populates a contract obligations calendar shared with **Sales** and **Operations**.
- **Precedent Search & Comparison Co-pilot** — AI retrieves similar clauses from TechCorp’s executed contract repository to show how a given clause was handled in past agreements, with all precedent anonymized for counterparty confidentiality.

Connected Departments: Sales (contract initiation & counterparty engagement) • Finance (financial term validation & revenue recognition) • Security (data protection clause review) • IT (platform access & contract repository management) • AI (model accuracy & safety governance) • Operations (obligation fulfillment tracking)

3. Permitted AI-Assisted Contract Review Use Cases

Use Case	AI Role	Human Oversight Required
Incoming contract clause identification & classification	First-pass extraction & categorization	Attorney confirms classification accuracy before review proceeds
Deviation detection from standard templates	Automated comparison & flagging	Attorney evaluates materiality of each deviation
Contract risk scoring	Preliminary risk calculation	Attorney adjusts score based on context and counterparty relationship
Obligation extraction & calendaring	Automated extraction & date population	Contract manager verifies completeness; Sales confirms delivery dates
Clause precedent search	Semantic similarity retrieval	Attorney reviews relevance and confirms precedents are comparable
Redline generation & suggested language	First-draft redline proposal	Attorney reviews and edits every redline before counterparty delivery
Regulatory compliance cross-check	Regulation-to-clause mapping	Practice lead confirms jurisdiction-specific applicability

4. Prohibited AI Use in Contract Review

The following are strictly prohibited under this policy:

- **Fully automated contract approval.** AI must never auto-approve, auto-sign, or auto-execute any contract or contractual amendment. Final approval requires explicit attorney sign-off recorded in the contract management system.

- **AI-drafted contractual language delivered to a counterparty without human review.** Every AI-generated clause, redline, or counter-proposal must be reviewed and approved by a licensed attorney before it reaches any external party.
- **Uploading counterparty-confidential contracts to consumer-grade AI tools.** No contract, term sheet, or negotiation memorandum may be submitted to any public or unapproved external AI service, including free-tier generative AI tools.
- **Relying on AI risk scores as the sole basis for kill/approve decisions.** AI risk scores are one input among many. Contract approval or rejection must be based on holistic attorney judgment considering commercial context, counterparty relationship, and business objectives — not AI scores alone.
- **Training or fine-tuning external models on TechCorp contract data.** No TechCorp contract language, clause libraries, or negotiation history may be used to train, fine-tune, or benchmark any external AI model without explicit written approval from the General Counsel and the AI Department.

5. Data Handling & Contract Confidentiality

All AI-assisted contract review must comply with TechCorp's **AI Safety Guidelines** (AI Department), the **Data Protection Standards** (Security Department), and any applicable counterparty NDAs or confidentiality provisions. Specific requirements:

- Every contract uploaded to the AI Platform must be tagged with the appropriate confidentiality tier and counterparty identifier before AI processing begins.
- The AI Platform must enforce matter-level data isolation — AI context from one contract review must not bleed into another contract's analysis or appear in cross-matter precedent results.
- Counterparty-identifying metadata must be stripped from precedent search results; the AI must return anonymized clause language only, with full counterparty identity visible only to attorneys authorized for that matter.
- All AI contract interactions are logged immutably and retained per the Legal Department's document retention schedule, coordinated with IT for storage and Security for access auditing.
- Contracts involving personally identifiable information or sensitive personal data require a Data Protection Impact Assessment co-signed by the Data Protection Officer before AI analysis.

6. Prompt Engineering & Quality Standards for Contract Review

Legal professionals using the AI Platform for contract review must adhere to TechCorp's **Prompt Engineering Standards**. Contract-specific requirements include:

- Every contract analysis prompt must specify governing law, jurisdiction, and contract type to scope the AI's interpretation appropriately.

- Clause extraction prompts must reference the specific TechCorp standard clause identifier from the approved clause library for accurate deviation comparison.
- Redline generation prompts must include the original clause text verbatim, the desired outcome, and any non-negotiable fallback positions — the AI must never paraphrase the source language.
- Risk scoring prompts must include counterparty profile context, contract value tier, and jurisdiction risk factors to produce calibrated scores.
- All contract review prompt templates must be version-controlled, approved by the Legal Operations Lead, and stored in the department's shared prompt library.
- Quarterly benchmarking requires AI clause extraction accuracy above 95% and risk classification precision above 90%; scores below these thresholds trigger a model review by the AI Department within 10 business days.

7. Roles & Responsibilities

Role	Responsibility
General Counsel	Overall policy ownership; final authority on AI use in contract review; approves exceptions to review workflow; authorizes AI redline deployment to counterparties.
Contract Review Attorneys	Human-in-the-loop review of every AI-generated clause analysis, redline, and risk score; final sign-off on all contracts before execution; reporting AI anomalies to Legal Operations.
Legal Operations Lead	Contract review prompt template governance; AI accuracy benchmarking; training coordination with AI Department; contract workflow tooling maintenance.
Paralegals & Contract Managers	Initial contract intake and metadata tagging; obligation extraction verification; precedent search execution under attorney supervision.
Sales Department	Initiating contract generation requests through approved AI workflows; providing counterparty context and commercial terms for AI analysis; must not bypass Legal review for AI-drafted language.
Finance Department	Validating AI-extracted financial terms against revenue recognition policies; co-approving risk scores that exceed financial materiality thresholds.
IT Department	Contract repository and AI platform access management; integration maintenance between contract management system and AI Platform; user access provisioning.
Security Department	Quarterly access audits on contract data; data protection compliance in AI contract processing; incident response for contract data exposure.
AI Department	Model performance monitoring for contract analysis modules; prompt standard updates; safety review of legal-use AI models; addressing accuracy degradation.

8. Incident Response

Any of the following constitutes a contract review AI incident and must be reported within the timeframe specified to the General Counsel, Legal Operations Lead, and Security Department:

- AI-generated contract language or redlines reaching a counterparty without human attorney review — report within 1 hour to the General Counsel and the responsible Sales or Legal lead.
- AI misclassifying a material clause as standard or failing to flag a high-risk deviation — report within 2 hours to the Legal Operations Lead and AI Department for model review.
- Suspected exposure of counterparty-confidential contract data through AI tool usage — report within 1 hour to Security, the General Counsel, and the Data Protection Officer.
- AI risk score materially misrepresenting contract risk and influencing a business decision — report within 4 hours to the General Counsel and the affected department head.
- Unauthorized access to the contract analysis tenant or precedent repository — report within 1 hour to Security, IT, and the General Counsel.

All contract-related AI incidents follow the joint incident response procedure maintained by Security and Legal Operations. A post-incident review involving the AI Department and the affected counterparty team is mandatory within 5 business days. If counterparty notification is required by contract, the General Counsel determines timing and content of disclosure.

9. Training & Compliance

- All contract review attorneys and paralegals must complete the AI-Assisted Contract Review workshop before receiving access to the Contract Analysis Module.
- Sales personnel initiating contract requests through AI workflows must complete the AI Contract Initiation training covering approved request templates and Legal handoff procedures.
- All Legal Department personnel must complete the annual TechCorp AI Safety training module, with contract-specific refresher content updated each cycle.
- Compliance audits of AI-assisted contract reviews are conducted quarterly by Legal Operations in coordination with the Security Department; a random sample of AI-reviewed contracts is manually audited for accuracy.
- Non-compliance with this policy, including intentional bypassing of human review requirements, is subject to the same disciplinary process as any violation of

TechCorp professional conduct standards.

10. Review & Revision

This policy is reviewed every 6 months by the General Counsel, Legal Operations Lead, and a designated Contract Review Practice Lead, with input from the AI Department (for model performance and accuracy benchmarks), Sales Department (for workflow integration feedback), Finance Department (for financial term standards), and Security Department (for data protection controls). Revisions are versioned, approved by the General Counsel, and synchronized with updates to the Legal Department AI Usage Policy (LEG-AI-001), the Contract Review Playbook, and the TechCorp AI Safety Guidelines.

Referenced Policies: Legal Department AI Usage Policy (LEG-AI-001) • TechCorp AI Safety Guidelines (AI Department) • Prompt Engineering Standards (AI Department) • Data Protection Standards (Security Department) • Contract Review Playbook (Sales & Legal) • IT Access Management Policy (IT Department) • Financial Controls & SOX Compliance Policy (Finance Department)